

YOUR MANAGEMENT ACCOUNTS ARRIVED. NOW WHAT?

How an SME Owner Should Read the Monthly Numbers

Receiving management accounts is not the same as using them. The real value starts when the numbers are turned into explanation, forward-looking judgement and management action.

THE FOUR QUESTIONS

What changed? | Why did it change? | What does it mean for the next few months? | What are we going to do about it?

A profit and loss statement, balance sheet, debtor age analysis and cash-flow report can all be technically correct and still make very little difference to the way a business is managed.

Many monthly finance meetings start on page one, work through individual expense lines, explain a few variances and end with a general view that the month was “good”, “difficult” or “about on budget”. That is reporting. It is not yet financial management.

The purpose of management accounts is to help management make better decisions while there is still time to change the outcome.

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HOW TO USE THIS REPORT

Do not treat the sections as a prescribed reporting pack. Use them as a management lens: identify material movements, establish their cause, update the forward view and record the decision that follows.

MANAGEMENT ACCOUNTS

01 THE REPORT IS NOT THE MEETING

Management accounts should start a conversation, not end one

Monthly accounts describe what has already happened. Management's job is to determine what those results say about what should happen next.

A business can produce increasingly sophisticated reporting without improving decision-making. More pages, dashboards and graphs do not automatically create better management information.

A useful management pack should make the important movements visible quickly enough for management to investigate them. The meeting then deals with the consequences.

For an SME, this does not require a 50-page board pack. It requires a small number of reliable reports, produced soon enough after month-end, and a disciplined review process.

At a minimum, management would normally want visibility over

- revenue and gross margin;
- operating expenses and operating profit;
- cash and near-term liquidity;
- debtors and overdue collections;
- stock or work in progress, where relevant;
- creditors and major upcoming payments;
- actual results against budget, forecast or another sensible comparator; and
- the forward outlook.

The exact pack will depend on the business. A professional-services firm does not need the same operational measures as a wholesaler, manufacturer or construction business.

THE PRINCIPLE

Management accounts should contain enough information to explain performance and support a decision — but not so much information that the important issues disappear inside the report.

MATERIAL MOVEMENTS

02 START WITH WHAT CHANGED

Do not automatically start on page one

One of the least effective ways to review management accounts is to read every line in sequence. Start instead with the significant movements.

FIRST QUESTION

What is materially different from what we expected?

- revenue is 12% above forecast;
- gross margin has fallen from 34% to 29%;
- one expense category is substantially higher;
- debtor days have increased;
- stock is growing faster than sales;
- overtime has become recurring;
- cash is lower despite a profitable month;
- one customer now represents an unusually large share of outstanding debtors; or
- the forecast for the next quarter has deteriorated.

Not every variance deserves equal management attention. An office expense that is R3,000 above budget may be irrelevant. A two-percentage-point deterioration in gross margin on a large revenue base may be very important.

Materiality therefore needs both rand value and business context. A useful monthly meeting begins with perhaps three to five significant issues. If there are twenty, the pack probably needs better prioritisation.

A simple first question

Before discussing the detail, every person responsible for reviewing the numbers should be able to answer: "What surprised us this month?"

If the answer is "nothing", either the business is exceptionally predictable or the reports are not being challenged hard enough.

REVENUE AND MARGIN

03 ARE SALES PRODUCING THE EXPECTED MARGIN?

More revenue does not automatically mean better performance

Revenue is often the first number an owner notices. It should rarely be considered on its own.

Suppose monthly sales increase from R2.0 million to R2.3 million. That sounds positive. But if gross margin falls from 32% to 27%, gross profit changes as follows:

	Previous Month	Current Month
Revenue	R2,000,000	R2,300,000
Gross margin	32%	27%
Gross profit	R640,000	R621,000

Sales have increased by R300,000. Gross profit has fallen by R19,000. The business is doing more work but generating less gross profit. That requires explanation.

Possible causes

- lower selling prices;
- increased discounts;
- product or customer mix;
- supplier cost increases;
- exchange-rate effects;
- excessive freight;
- overtime;
- subcontractor costs;
- waste or rework;
- stock losses;
- commission;
- unbilled work; or
- incorrect cost allocation.

Useful questions

- Which customers, products or services created the growth?
- Did their margins match expectations?
- Have discounts changed?
- Has the sales mix shifted?
- Are supplier increases being recovered?
- Are direct labour and delivery costs rising faster than revenue?
- Is a large customer buying more but becoming less profitable?

MANAGEMENT TEST

A business should not congratulate itself on growing revenue until it understands the margin attached to that growth.

PROFIT AND CASH

04 WHERE DID THE CASH GO?

Profit and cash describe different parts of the business

A profitable month can still end with less money in the bank. That does not necessarily mean anything is wrong. It does mean the movement must be understood.

- customers have not yet paid;
- stock has increased;
- suppliers were paid faster;
- VAT or provisional tax was paid;
- equipment was purchased;
- a loan was repaid;
- owner drawings or dividends were paid;
- deposits were paid;
- previous liabilities were settled; or
- cash has been absorbed by growth.

THE OWNER'S QUESTION

"We made a profit. Why is the bank balance lower?" The answer will usually be somewhere in the balance sheet and cash movements.

Debtors

Do not look only at the total debtor balance. Consider total and overdue debtors, ageing by 30, 60 and 90+ days, large individual exposures, disputed invoices, customers exceeding agreed terms and whether collections are improving or deteriorating.

A growing debtor balance may be entirely reasonable if sales are growing. But if debtors grow substantially faster than revenue, management needs to understand why.

Stock

Higher stock may be deliberate because the business is preparing for seasonal demand, a major order is coming, supplier lead times have increased or management negotiated an attractive bulk purchase.

Or it may indicate slow-moving stock, poor purchasing discipline, incorrect demand assumptions, obsolete items or cash trapped in inventory that is not converting into sales. The financial report cannot make that distinction by itself. Management must.

Creditors

An improving bank balance can also be misleading. Cash may look stronger simply because suppliers have not been paid. That is not cash generation. It is delayed cash outflow.

A useful management review therefore considers debtors, stock and creditors together rather than treating them as unrelated balance-sheet numbers.

COST STRUCTURE

05 WHICH COSTS ARE BECOMING PERMANENT?

Temporary costs have a habit of becoming part of the monthly run rate

A single month's expense variance is often less important than a change in the underlying cost structure.

Consider a business that adds two employees, another vehicle, new software subscriptions, additional warehouse space and R40,000 per month of outsourced support. Each commitment may be sensible on its own. Together, they could permanently increase the monthly break-even point.

ONCE-OFF VS RECURRING

A R100,000 once-off implementation expense hurts one month. A R30,000 recurring monthly commitment costs R360,000 every year before escalation. The second may be financially more significant.

Look for the new run rate

- Which costs have increased for three months in succession?
- Was the increase planned?
- Is it temporary or permanent?
- What revenue or efficiency was expected in return?
- Has that benefit materialised?
- If sales weaken, can the cost be reduced?
- Has the business's break-even level moved?

This is especially important after a period of growth. Businesses often add resources in small increments and only later realise that the fixed-cost base has materially changed.

CONTEXT

06 COMPARE ACTUAL PERFORMANCE WITH SOMETHING MEANINGFUL

A number without context tells management very little

“Marketing cost was R82,000.” That is a fact. It is not yet management information.

- Was it above or below budget?
- Higher than last month?
- Higher than the same month last year?
- Driven by a planned campaign?
- Producing measurable sales?
- Part of a recurring increase?
- Appropriate for the current revenue level?

Comparison	Question	What it tells management
Budget	What did we originally expect?	Useful for accountability and testing the assumptions behind the annual plan.
Latest forecast	What did we most recently expect?	Often more useful than an old budget once circumstances have materially changed.
Prior month	What is changing now?	Useful for emerging trends, with care in seasonal businesses.
Prior year	How are we performing against the comparable period?	Particularly useful where seasonality matters.
Operational driver	Does the financial result make sense compared with what happened operationally?	Examples include revenue per salesperson, billable hours, average selling price, units produced and jobs completed.

FROM NUMBER TO CAUSE

The strongest management packs connect financial outcomes to operational causes. That moves the conversation from “The number changed” to “We understand why the number changed.”

FORWARD VIEW

07 LOOK FORWARD BEFORE CLOSING THE REPORT

Last month's accounts should change the next forecast

One of the biggest weaknesses in monthly reporting is that management spends all its time discussing the month that has already ended. The final part of the meeting should be forward-looking.

- What do the current results change about the next three months?
- Which sales assumptions need updating?
- Have customer payment dates moved?
- Are supplier prices changing?
- Is payroll about to increase?
- Are there tax payments approaching?
- Is stock purchasing likely to absorb cash?
- Are major orders delayed?
- Does the cash forecast still make sense?
- Has the minimum expected cash balance changed?

A forecast should not remain untouched simply because the annual budget was approved. If actual information has changed, the forecast should change with it.

A business can wait until next month's management accounts to discover that profit was lower. It cannot wait comfortably until next month to discover that next Friday's payroll cannot be funded.

For that reason, monthly management accounts and a short-term cash forecast serve different purposes and should complement one another.

ACTION

08 TURN EXCEPTIONS INTO DECISIONS

An explanation is not an action

This is where many management meetings lose value. Management identifies a problem. Someone explains why it happened. Everyone accepts the explanation. The meeting moves on. Nothing changes.

A meaningful exception should end in one of three outcomes

Outcome	Meaning
Accept	The movement is understood and management is comfortable with it. No action is required.
Investigate	There is not enough information to reach a conclusion. Someone must establish the facts by a specified date.
Act	Management knows what needs to change. An owner and deadline are assigned.

Examples

What changed	Explanation	Decision
Gross margin fell from 31% to 27%	Supplier increase not recovered on three major products	Pricing review before next sales cycle
Debtor days increased	Two large customers paid late	Account managers to confirm collection dates
Overtime increased 35%	Production bottleneck	Review staffing and shift structure
Software cost increased	New licences added across departments	Confirm active users and cancel redundant licences

THE TEST

Without the final decision column, management accounts risk becoming a history lesson.

ILLUSTRATION

09 WORKED EXAMPLE: A GOOD MONTH, A WEAKER BUSINESS

The headline result looks positive

Consider a fictional South African distribution and service SME. Its monthly management accounts show:

	Previous Month	Current Month
Revenue	R3,200,000	R3,520,000
Gross profit	R960,000	R985,600
Operating profit	R235,000	R248,000
Closing bank balance	R610,000	R390,000

At first glance, the month looks good. Revenue is up by R320,000. Gross profit is up. Operating profit is up. But cash has fallen by R220,000.

WEAK CONCLUSION

“Good trading month. Cash is a little tight.” That would miss most of the useful information.

The review reveals four issues

1. Gross margin deteriorated

Previous gross margin: $R960,000 \div R3,200,000 = 30.0\%$. Current gross margin: $R985,600 \div R3,520,000 = 28.0\%$. The business generated more gross profit in rand terms, but surrendered two percentage points of margin.

Further investigation shows that a major customer received additional discounts while freight costs increased. The sales growth is therefore less valuable than it first appeared.

2. Debtors increased by R310,000

Most of the increase relates to two large customers. Both are beyond agreed terms. The revenue has been recognised, but the cash has not arrived.

3. Stock increased by R180,000

Purchasing increased in anticipation of a sales campaign that has been delayed by six weeks. The stock may still sell. For now, however, the business is funding it.

4. Fixed monthly costs have increased

During the previous three months the business added one salesperson, a leased vehicle and additional warehouse staff. Combined recurring cost: R94,000 per month. These costs were approved individually. The management accounts now show their combined effect on the cost base.

BETTER MANAGEMENT CONCLUSION

Sales are growing, but margin quality has weakened, more cash is tied up in debtors and stock, and the fixed-cost base has increased. The business needs to improve pricing discipline, confirm collection dates and reconsider near-term purchasing before adding further cost.

The accounting numbers did not change. The quality of the management interpretation did.

MANAGEMENT ROUTINE

10 A 30-MINUTE MONTHLY FINANCE REVIEW

The meeting does not need to be long

A disciplined SME management review can be completed surprisingly quickly if the pack has been prepared properly.

Time	Focus	What to cover
0–5 minutes	Headline position	Revenue, gross margin, operating profit, cash, debtors, stock where relevant, and forecast position. Identify the three to five issues requiring discussion.
5–15 minutes	Understand the movements	For each material exception: What changed? Why? Is it temporary or structural? What is the rand effect? Is it likely to continue?
15–22 minutes	Look forward	Expected major collections, supplier payments, payroll, tax dates, stock purchases, major orders, capex, funding requirements and forecast cash low point.
22–30 minutes	Decide	For every significant issue record: Action — Owner — Due date. Then close the meeting.

PURPOSE

The purpose is not to discuss finance for 30 minutes. The purpose is to leave with clearer management decisions than when the meeting started.

AI-assisted review

AI can be useful in preparing a monthly finance discussion once the underlying records have been completed and checked.

- summarise material variances;
- compare commentary between periods;
- identify questions that have not been answered;
- organise management commentary;
- prepare a meeting agenda;
- identify inconsistencies between explanations and reported movements; and
- convert a long report into a short list of management questions.

But an AI-generated explanation is not evidence. If AI suggests that margin deterioration may have resulted from discounts, freight or product mix, management must still establish which explanation is supported by the accounting and operational records.

AI BOUNDARY

AI can help identify the question. It should not invent the answer. Management remains responsible for the underlying data, interpretation and decision.

THE MANAGEMENT QUESTION

11 CONCLUSION

Management accounts should make the business easier to manage

A monthly management pack does not need to predict every problem. It should make important changes visible early enough for management to respond.

A useful review should tell management:

- where performance changed;
- why it changed;
- whether sales are producing acceptable margin;
- where cash is being absorbed;
- whether the fixed-cost base is changing;
- what the current results imply for the next few months; and
- which decisions now need to be taken.

South African small-business research in 2026 indicates that business owners are already paying close attention to cash, with 66% reporting that they monitor cash flow and 63% checking their bank balance daily or weekly. The next step is to turn that attention into forward-looking management information rather than relying on the bank balance alone.

Regular financial review is also consistent with current SME guidance that monthly or weekly monitoring can reveal deteriorating margins and debtor trends before they become larger problems.

THE FINAL QUESTION

The most useful question at the end of a monthly finance meeting is not “Have we reviewed the accounts?” It is “What are we going to do differently because of what the accounts told us?”

Insights

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This article is intended as a general management framework and does not replace accounting, tax, legal or other professional advice appropriate to the circumstances of a particular business.

PRACTICAL TOOL

12 MONTHLY MANAGEMENT ACCOUNTS DECISION SHEET

A one-page management record

Use this sheet to convert the monthly financial review into a short record of the issues that matter and the decisions that follow.

MONTH	DATE REVIEWED	REVIEW PARTICIPANTS
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Headline position

Measure	Actual	Comparator	Movement / comment
Revenue			
Gross margin %			
Operating profit			
Bank balance			
Debtors			
Overdue debtors			
Stock / WIP			
Forecast cash low point			

Eight owner questions

1–4	5–8
1. What surprised us this month?	5. Which costs are becoming structural?
2. Which number moved enough to matter?	6. Which assumption in the forecast now looks wrong?
3. Are sales growing profitably?	7. What could materially hurt performance or cash during the next 90 days?
4. Where is cash being absorbed?	8. What must happen before the next review?

Decision record

What changed?	Why?	Financial effect	Management action	Owner / due date

Forward view

Forward-view item	Management note
Most important expected receipt	
Most important expected payment	
Main margin risk	
Main cash risk	
Decision required before next review	

A useful monthly review does not attempt to explain every number. It identifies the movements that matter, establishes their consequences and records what management will do next.